

OPERATING AGREEMENT OF HAMPTONS NEW YORK LLC

A New York Limited Liability Company

Effective Date: _____, 2026

THIS OPERATING AGREEMENT ("Agreement") is entered into by and between the undersigned Members of **Hamptons New York LLC**, a New York limited liability company (the "Company"), as of the Effective Date set forth above.

The Members, intending to be legally bound, hereby agree as follows:

ARTICLE I — FORMATION AND PURPOSE

Section 1.1 — Formation

The Company was formed as a New York Limited Liability Company by filing Articles of Organization with the New York Department of State on _____, 2026, in accordance with the New York Limited Liability Company Law ("NY LLC Law").

Section 1.2 — Name

The name of the Company is **Hamptons New York LLC**. The Company may do business under such other names as the Members may agree upon.

Section 1.3 — Principal Office

The principal office of the Company shall be located at:

** _____ ** (East Hampton, Suffolk County, New York)

The Managing Member may change the principal office upon written notice to all Members.

Section 1.4 — Purpose

The Company is formed for the purpose of designing, manufacturing, marketing, distributing, and selling branded consumer products under the "Hamptons New York" brand, including but not limited to apparel, accessories, and lifestyle goods, and to engage in any and all lawful business activities related thereto.

Section 1.5 — Term

The Company shall continue in existence until dissolved in accordance with this Agreement or by operation of law.

Section 1.6 — Registered Agent

The Company shall maintain a registered agent in the State of New York as required by law.

ARTICLE II — MEMBERS AND OWNERSHIP

Section 2.1 — Members

The Members of the Company are:

| Member | Membership Interest | Role |

|-----|-----|-----|

| **Sean DeFaria** | 51% | Managing Member |

| **Lukas Levine** | 49% | Member |

Section 2.2 — No Additional Members

No additional Members shall be admitted to the Company without the unanimous written consent of all existing Members.

Section 2.3 — Membership Certificates

The Company shall not issue certificates representing Membership Interests unless the Members unanimously agree otherwise.

ARTICLE III — CAPITAL CONTRIBUTIONS

Section 3.1 — Initial Capital Contributions

Each Member shall contribute initial capital to the Company in proportion to their Membership Interest, or as otherwise agreed upon in writing:

| Member | Contribution Amount | Form |

|-----|-----|-----|
| Sean DeFaria | \$7,500.00 | Cash |
| Lukas Levine | \$7,500.00 | Cash |

Total Initial Capitalization: \$15,000.00

Section 3.2 — Additional Contributions

No Member shall be required to make additional capital contributions beyond their initial contribution unless:

- (a) All Members unanimously agree in writing; or
- (b) Such additional contributions are necessary to meet Company obligations and are approved by the Managing Member, provided the request is reasonable and proportional.

Section 3.3 — Failure to Contribute

If a Member fails to make a required additional capital contribution within thirty (30) days of written notice, the contributing Member(s) may:

- (a) Advance the funds on behalf of the defaulting Member, which shall be treated as a loan to the defaulting Member at 8% annual interest; or
- (b) Adjust the Membership Interests proportionally to reflect actual capital contributed, subject to Section 7.5 (Equity Adjustment for Default).

Section 3.4 — No Interest on Contributions

No Member shall receive interest on their capital contributions.

Section 3.5 — Return of Contributions

No Member has the right to demand the return of their capital contributions except upon dissolution of the Company or as otherwise provided in this Agreement.

ARTICLE IV — PROFITS, LOSSES, AND DISTRIBUTIONS

Section 4.1 — Allocation of Profits and Losses

Net profits and net losses of the Company shall be allocated to the Members in proportion to their Membership Interests (51% to Sean DeFaria, 49% to Lukas Levine), unless otherwise agreed in writing.

Section 4.2 — Distributions

Distributions of available cash shall be made at the discretion of the Managing Member, but no less frequently than quarterly if the Company has positive cash flow, and shall be distributed to the Members in proportion to their Membership Interests.

Section 4.3 — Tax Distributions

The Company shall distribute to each Member, at minimum, an amount sufficient to cover each Member's estimated tax liability arising from Company income ("Tax Distributions"), to be paid no later than fifteen (15) days prior to each quarterly estimated tax payment deadline.

Section 4.4 — Limitation on Distributions

No distribution shall be made if it would render the Company unable to pay its debts as they become due or if it would violate New York law.

ARTICLE V — MANAGEMENT AND DECISION-MAKING

Section 5.1 — Member-Managed

The Company shall be member-managed. Both Members shall participate in the day-to-day operations and management of the Company.

Section 5.2 — Managing Member

****Sean DeFaria**** is designated as the ****Managing Member**** of the Company. The Managing Member shall have the authority to:

- (a) Make all day-to-day business decisions;
- (b) Execute contracts and agreements on behalf of the Company for amounts up to \$5,000 without additional Member approval;
- (c) Hire and terminate employees, contractors, and service providers;
- (d) Manage the Company's bank accounts;
- (e) Direct the Company's marketing, branding, and creative strategy;
- (f) Cast the deciding vote on any matter where the Members cannot reach agreement.

Section 5.3 — Decisions Requiring Unanimous Consent

Notwithstanding the Managing Member's authority, the following actions require the ****unanimous written consent**** of all Members:

- (a) Admitting new Members;
- (b) Selling, merging, or dissolving the Company;
- (c) Taking on debt or loans exceeding \$10,000;
- (d) Entering into leases or contracts with terms exceeding twelve (12) months or \$25,000 in total value;
- (e) Changing the Company's name or core brand identity;
- (f) Amending this Operating Agreement;
- (g) Making capital calls (requiring additional contributions from Members);

(h) Any transaction between the Company and a Member or a Member's family/affiliates (related-party transactions).

Section 5.4 — Voting Rights

On matters put to a vote, each Member shall vote in proportion to their Membership Interest. The Managing Member's 51% interest constitutes a majority for all matters not requiring unanimous consent.

Section 5.5 — Tie-Breaking and Final Authority

In the event of a disagreement on any matter not requiring unanimous consent under Section 5.3, the Managing Member shall have final decision-making authority. Before exercising this authority, the Managing Member shall:

- (a) Hear the other Member's position in good faith;
- (b) Provide a written explanation of the decision if requested;
- (c) Act in the best interests of the Company rather than personal interest.

Section 5.6 — Fiduciary Duties

Each Member owes to the Company and to each other Member the fiduciary duties of loyalty and care as provided under New York law. No Member shall:

- (a) Compete with the Company in the sale of similar products or services within the geographic markets the Company operates in (New York State) during the term of membership and for twelve (12) months after departure;
- (b) Usurp a business opportunity that rightfully belongs to the Company;
- (c) Engage in self-dealing at the Company's expense.

ARTICLE VI — ACTIVE PARTICIPATION REQUIREMENTS

This Article establishes the expectations for both Members to actively contribute to the Company's success. Both Members acknowledge that this is an active partnership, not a passive investment.

Section 6.1 — Minimum Participation

Each Member shall dedicate a minimum of ****fifteen (15) hours per week**** to Company business during active business periods (defined as any period when the Company has products in development, production, marketing, or sales). During off-season or planning periods, each Member shall dedicate a minimum of ****five (5) hours per week****.

Section 6.2 — Defined Roles and Responsibilities

Within thirty (30) days of the Effective Date, the Members shall create and sign a written ****Roles and Responsibilities Schedule**** (attached as Exhibit A) that clearly defines:

- (a) Each Member's primary areas of responsibility;
- (b) Key deliverables and milestones each Member is accountable for;
- (c) How tasks will be divided for pop-up events, manufacturing, marketing, and sales.

This schedule may be updated quarterly by mutual agreement.

Section 6.3 — Communication Requirements

Each Member shall:

- (a) Respond to Company-related communications from the other Member within ****48 hours****;
- (b) Attend or participate in ****weekly check-in meetings**** (in person, phone, or video) to discuss Company progress;
- (c) Provide reasonable notice (minimum 7 days) for any planned absence exceeding one (1) week.

Section 6.4 — Documentation of Work

Each Member shall maintain a ****brief weekly log**** of their activities and contributions to Company business. This log need not be formal — text messages, shared notes, emails, or a simple shared document are acceptable. The purpose is to create a good-faith record that both Members are contributing.

Section 6.5 — Good Faith Standard

Both Members acknowledge that contribution is not always equal week-to-week. Seasonal demands, personal circumstances, and the natural rhythm of business mean that effort will fluctuate. The standard is whether each Member is, in good faith, making a consistent and meaningful effort to advance the Company's goals over any rolling 90-day period.

ARTICLE VII — BREACH, DEFAULT, AND REMEDIES

Section 7.1 — Material Breach

A Member shall be in ****Material Breach**** of this Agreement if they:

- (a) ****Inactivity:**** Fail to perform any meaningful work for the Company for a continuous period of sixty (60) days without prior written approval from the other Member (e.g., approved medical leave, family emergency, or pre-planned absence);
- (b) ****Abandonment:**** Fail to respond to Company communications for thirty (30) consecutive days without explanation;

- (c) **Financial Misconduct:** Misappropriate Company funds, falsify financial records, or make unauthorized expenditures exceeding \$1,000;
- (d) **Breach of Fiduciary Duty:** Compete with the Company, engage in self-dealing, or usurp a Company opportunity as defined in Section 5.6;
- (e) **Failure to Contribute:** Fail to make a required capital contribution within the cure period specified in Section 3.3;
- (f) **Criminal Conduct:** Be convicted of a felony or any crime involving fraud, dishonesty, or moral turpitude;
- (g) **Reputation Damage:** Engage in conduct that materially damages the Company's brand, reputation, or business relationships.

Section 7.2 — Notice and Cure Period

Before any breach triggers consequences:

- (a) The non-breaching Member shall deliver **written notice** to the breaching Member specifying the nature of the breach in reasonable detail;
- (b) The breaching Member shall have **thirty (30) days** from receipt of notice to cure the breach (the "Cure Period");
- (c) For Inactivity breaches (Section 7.1(a)), the Cure Period shall be **fourteen (14) days** to resume active participation, plus a requirement to make up for lost time by meeting doubled participation minimums for the following sixty (60) days;
- (d) For Financial Misconduct (Section 7.1(c)) or Criminal Conduct (Section 7.1(f)), there shall be **no Cure Period** — consequences are immediate upon written notice with supporting evidence.

Section 7.3 — Consequences of Uncured Breach

If a Material Breach is not cured within the Cure Period, the non-breaching Member may, at their sole election:

- (a) **Forced Buyout:** Require the breaching Member to sell their entire Membership Interest to the non-breaching Member at a price equal to **70% of the Fair Market Value** of the breaching Member's interest (the 30% discount reflecting the damage caused by the breach);
- (b) **Equity Reduction:** Reduce the breaching Member's Membership Interest by a percentage proportional to the period of breach, not to exceed a 20% reduction per breach event (e.g., a 3-month inactivity breach could result in a reduction from 49% to approximately 39%);
- (c) **Dissolution:** Elect to dissolve the Company in accordance with Article X.

Section 7.4 — Fair Market Value Determination

Fair Market Value of a Member's interest shall be determined by:

- (a) Mutual agreement of the Members; or, if they cannot agree within thirty (30) days,
- (b) An independent business appraiser mutually selected by the Members; or, if they cannot agree on an appraiser within fifteen (15) days,
- (c) Each Member shall select an appraiser, and the two appraisers shall select a third. The average of the three appraisals shall be the Fair Market Value. Each Member shall pay for their own appraiser, and the cost of the third appraiser shall be split equally.

Section 7.5 — Equity Adjustment for Default

If a Member defaults on a required capital contribution, the non-defaulting Member may contribute the defaulting Member's share. In that event, Membership Interests shall be adjusted to reflect the ratio of actual total capital contributed by each Member, effective immediately upon written notice.

Section 7.6 — Repeated Breaches

If a Member commits three (3) or more Material Breaches within any twelve (12) month period (whether or not cured), the non-breaching Member may treat the pattern as an incurable breach and proceed directly to the remedies in Section 7.3 without further Cure Periods.

Section 7.7 — Protection Against Bad-Faith Breach Claims

To prevent abuse of this Article:

- (a) Breach claims must be supported by **documented evidence** (communication logs, financial records, work logs, or witness statements);
- (b) A Member may not claim breach for matters they previously approved or consented to in writing;
- (c) Either Member may request **mediation** before consequences take effect (see Section 11.1);
- (d) Both Members acknowledge the good-faith standard in Section 6.5 — temporary dips in participation do not constitute breach if overall contribution remains consistent.

ARTICLE VIII — TRANSFER OF MEMBERSHIP INTERESTS

Section 8.1 — Restrictions on Transfer

No Member may sell, assign, transfer, pledge, or otherwise dispose of all or any portion of their Membership Interest without the prior written consent of the other Member(s).

Section 8.2 — Right of First Refusal

If a Member receives a bona fide offer from a third party to purchase their Membership Interest, the selling Member must first offer the interest to the other Member(s) on the same terms. The remaining Member(s) shall have thirty (30) days to accept or decline the offer.

Section 8.3 — Permitted Transfers

A Member may transfer their interest to a trust or estate planning entity controlled by the Member without the other Member's consent, provided the transferring Member retains voting control and management rights.

ARTICLE IX — WITHDRAWAL AND BUYOUT

Section 9.1 — Voluntary Withdrawal

A Member may voluntarily withdraw from the Company by providing ninety (90) days written notice to the other Member(s).

Section 9.2 — Buyout Upon Withdrawal

Upon voluntary withdrawal:

(a) The remaining Member(s) shall have the right (but not the obligation) to purchase the withdrawing Member's interest at **Fair Market Value** (determined per Section 7.4);

(b) Payment may be made in a lump sum or in equal monthly installments over a period not to exceed twenty-four (24) months, at the election of the purchasing Member;

(c) If the remaining Member(s) elect not to purchase, the Company shall be dissolved in accordance with Article X.

Section 9.3 — Death or Incapacity

Upon the death or permanent incapacity of a Member:

(a) The surviving Member(s) shall have the right to purchase the deceased/incapacitated Member's interest from their estate at Fair Market Value;

(b) The estate shall have sixty (60) days to accept the offer;

(c) Payment may be made in installments over twenty-four (24) months;

(d) If the surviving Member(s) do not exercise this right, the estate may hold the interest as an assignee entitled to distributions but without voting or management rights.

ARTICLE X — DISSOLUTION

Section 10.1 — Events of Dissolution

The Company shall be dissolved upon:

(a) The unanimous written consent of all Members;

(b) The occurrence of any event that makes it unlawful for the Company to continue;

(c) A judicial decree of dissolution;

(d) The withdrawal, death, or incapacity of a Member if the remaining Member(s) do not elect to continue the Company within ninety (90) days.

Section 10.2 — Winding Up

Upon dissolution, the Managing Member (or a designated liquidator) shall wind up the Company's affairs by:

(a) Paying all Company debts and obligations;

(b) Setting aside reserves for contingent or unknown liabilities;

(c) Distributing the remaining assets to the Members in proportion to their Membership Interests.

ARTICLE XI — DISPUTE RESOLUTION

Section 11.1 — Mediation

Any dispute arising under this Agreement shall first be submitted to **mediation** before a mutually agreed-upon mediator. The costs of mediation shall be shared equally by the disputing Members.

Section 11.2 — Arbitration

If mediation fails to resolve the dispute within sixty (60) days, either Member may submit the dispute to **binding arbitration** under the rules of the American Arbitration Association. The arbitration shall take place in Suffolk County, New York.

Section 11.3 — Legal Fees

In any dispute resolved through mediation, arbitration, or litigation, the prevailing party shall be entitled to recover reasonable attorney's fees and costs from the non-prevailing party.

Section 11.4 — Governing Law

This Agreement shall be governed by the laws of the State of New York.

ARTICLE XII — GENERAL PROVISIONS

Section 12.1 — Entire Agreement

This Agreement constitutes the entire agreement between the Members and supersedes all prior agreements, whether written or oral.

Section 12.2 — Amendments

This Agreement may be amended only by a written document signed by all Members.

Section 12.3 — Severability

If any provision of this Agreement is found to be invalid or unenforceable, the remaining provisions shall continue in full force and effect.

Section 12.4 — Notices

All notices under this Agreement shall be in writing and delivered by hand, email with confirmed receipt, or certified mail to the addresses listed below each Member's signature.

Section 12.5 — Waiver

The failure of any Member to enforce any provision of this Agreement shall not be construed as a waiver of such provision or the right to enforce it at a later time.

Section 12.6 — Headings

The headings in this Agreement are for convenience only and shall not affect its interpretation.

Section 12.7 — Counterparts

This Agreement may be executed in counterparts, each of which shall be deemed an original.

SIGNATURES

IN WITNESS WHEREOF, the Members have executed this Operating Agreement as of the Effective Date.

SHONDA FARIA — Managing Member (51%)

Signature: _____

Printed Name: Sean DeFaria

Date: _____

Address: _____

Email: _____

LUCAS LEVINE — Member (49%)

Signature: _____

Printed Name: Lukas Levine

Date: _____

Address: _____

Email: _____

EXHIBIT A — ROLES AND RESPONSIBILITIES SCHEDULE

To be completed and signed by both Members within 30 days of the Effective Date.

Sean DeFaria — Primary Responsibilities:

1. _____
2. _____
3. _____
4. _____

Lukas Levine — Primary Responsibilities:

1. _____
2. _____
3. _____
4. _____

Shared Responsibilities:

1. _____
2. _____
3. _____

Signed:

Sean DeFaria: _____ Date: _____

Lukas Levine: _____ Date: _____

DISCLAIMER: This Operating Agreement was drafted as a comprehensive template. Both Members are strongly encouraged to have this document reviewed by a licensed New York attorney before signing. This document does not constitute legal advice.